BUSINESS DATA MANAGEMENT

Lecture13

Decision Making Unit (DMU)

Welcome back. And now that you know the difference between B2B versus B2C, the organization buying behavior, which is an eight-step process, and also the different buying situations in B2B, which is straight rebuy, modified rebuy, and new task situation. We now try to understand what is something known as decision making unit, which is also referred to as DMU. And this DMU is referred also to as a buying center. And in some textbooks, it is called as BUC, which is called as buying and usage center.

Right. So. I have just put a YouTube screenshot here. So what you could do is the concept that I'm teaching. There is also a nice three to four minute video in the name of buying center song.

So you can just put input this particular thing, which is called as a buying center song. And just have a look at this particular video, which is by Greg Rich, and which is very wonderful. It just explains, summarizes whatever I'm kind of teaching. So even if you go through it, that should also give you a much clearer understanding in addition to the explanations that I provide. Now, just to jog your memories to what we have gone through, I said that in B2B, the end customer, the end customer is a business, right?

which means that in B2C, I said that you have to sell, we need two entities. We need a seller and we need a buyer. In B2C, let's say that I buy from Amazon, it is a B2C transaction because the end customer is Ashwin, who is an individual. But what happens in a B2B kind of transaction is the only difference is that the end customer is a business instead of an individual. And I also said that the purchase duration

is longer. If you recollect the difference between B2C and B2B, I said that the purchase duration is longer; it could vary between three months all the way to

one year. In addition, I said that the decision, this is because of the fact that the purchase value in B2B is higher. When I say that the purchase value is higher, it means that it runs in millions to billions of INR or euros or dollars, right? And because of this, what happens is that the decision-making body, The decision-making body, when it comes to B2C, it is an individual.

But what happens in a B2B is that the decision is not made by one individual. Why? Because the amount is very high. The purchase value, the cost incurred is very, very high. So the decision is made not by one person, but by a body which is called as DMU, which I've written above here, which is referred to as your decision making unit, which is also referred to as

A buying center, which is also referred to as a buying and usage center. And this can have somewhere between five to 15 people. If the organization size is bigger, then what happens is you have many people, but if the organization's size is smaller, then what happens is you have a smaller number of people. And what happens in this DMU is there are different roles. So the people within

The people within the decision-making unit play differing roles, right? There are different roles that are played. So in the video, you'll see that, you know, they have given different roles, but I'll just indicate some of the key roles within the DMU. The first role is what we refer to as a gatekeeper. Let me first put down the different roles and then explain each of these roles one by one.

So there could be a gatekeeper, there are users, There could be somebody called an initiator. We may have people from finance, HR, and quality, right? Which means the decision-making unit comprises people belonging to different disciplines, right? They can be from operations, finance, HR, quality, et cetera, right?

You could have somebody who is called as influencers. And then finally, there is a decision maker, right? So there is a decision maker. So decision maker is somebody who makes the final decision. Now, the question is,

Can the decision maker decide on his or her own? The answer is yes. They can typically they are the decision makers because they are the ones who sign the final agreement. But would they decide on their own? The answer is no.

And the simple reason is that since the purchase value is higher. In the event you take wrong decisions, what could happen is, you know, there could be serious consequences. I want to indicate one important aspect here, which is what we refer to as negative inheritance of domino effect. While I'm not going to discuss this deeper, this comes in a concept which is called a service failure and recovery. But just to give you an example of understanding of what is this negative inheritance of domino effect.

which is prevalent, more prevalent in B2B. Now what happens in a B2C situation? Now let's say that you buy a phone, you order a phone online, you receive it and it is defective, right? So obviously you're angry, you're mad that you paid for it and you got a defective phone. Now the impacted entity is you as an individual and maybe your family, right?

So you may feel bad. Yes, obviously you'll do complaining and next steps will follow, but still you are the impacted entity. But what happens when there is a B2B, when you make wrong decisions in B2B is that when the supplier, let's say that the supplier or the seller, you choose a wrong supplier, it not just impacts the business customer, but also impacts their clients. So whatever failure is happening in the upstream, it impacts not just the customer, but also the entire chain.

And this is what we refer to as a spillover. Negative inheritance of domino effect is referred to as a spillover as well, right? So which means when there is a mistake that is happening upstream, not just it impacts the customer, but also all the entities which are involved in that particular network. The entire downstream also kind of gets impacted. Now what happens here is that the first thing is that of what we refer to as a gatekeeper.

Now who are gatekeepers? Now gatekeepers are those people who ensure that any random, because what happens is that the sellers try to pursue the customers in a B2B because you have a smaller number of customers. They try to reach out to them. So gatekeepers are those people who kind of make it difficult for any person directly to come and enter or influence these DMU members. Because what is very important is that, you know, it is the DMU that makes decision making.

So as we go to next week, where I'll explain the seven steps of selling, but typically what happens within the seller organization is, they try to reach out to the customers with their offering. And that is where the role of gatekeeper is very critical, who kind of make sure that random people do not come in and kind of reach out to the members of DMU or try to influence them. So who are these gatekeepers? It could be the security, right?

So if you look at IIT Madras, let's say if you have to enter, you need to have your valid ID card. And if you do not have your ID card, what happens is that you're not allowed to enter, right? So that is what, so security plays the role of the gatekeeper. If you look at finance, quality, HR, operations, are they the gatekeepers? The answer is yes, they could be the gatekeepers as well.

Why? Now, let's say that you identified four vendors. So if you remember the organizational buying behavior, I said that we had identified four laptop vendors. And then, after this shortlisting is done, the finance department may say that, look, our budget should not be exceeding 70,000. So what happens by that is anything that exceeds 70,000 is automatically filtered out, which means they are not a part of the process anymore.

So they are also the gatekeepers. What is the role of quality people as a gatekeeper? So they may say that we may want only those vendors. So when they do this selection process, shortlisting process or selection process in step number five, they may say that, which I was telling you about market research,

they may say that we may only want those companies which have a very good market image, not tier two kind of suppliers. We want the best ones.

So automatically they are also ensuring that those who are not in the top five list are automatically shunted out. So that is, again, that is why quality also plays the role of the gatekeeper as well. So I hope this clarifies as to why different people can play actually varying roles, right? One person can play multiple roles, but typically what happens in bigger organizations is that people play these different roles, whereas what happens in smaller organizations is that one person could play different roles.

The second thing is we have what we refer to as users. Now, who are the users? So if you remember the organizational buying behavior, I said that engineers in the company were not happy with the laptop. They said that the laptop was slow and the battery was poor. So users are those people who actually use the product slash services

and are the ones who identify the problems. Right. So identify the problems or kind of specify a need, specify a need or let's say specify needs. Right.

So these are users. So users in that in the context of that organizational buying behavior were those engineers who kind of are not happy with the laptops because, you know, let's say that they were coding and they found out that the processor was slow. The battery was draining very fast. So they were not happy with it. Now, what happens when these users detect a problem is they pass it to the next slot, which is the initiators.

Now, who are these initiators? They, when the engineers who are the users, when users, so I'm going to type it down, when users identify a problem, let's say, and or have a need, they pass this information to the initiators. And initiators are those who initiate the process further. And these initiators could be their supervisors, right?

It could be their immediate managers, et cetera. So what they do is that the engineer passes this information to his manager, the supervisor, or the purchase department. The purchase department could also be the initiator. So that's why one person can play multiple roles. They kind of do this initiation.

Now, once this is done, the purchase department gathers all the need requirements, the product specification, and supplier search, and they have done all this, then it goes to what we refer to as influencers. Now, who are these influencers? Influencers are, again, bigger people in the organization. You can call them as head of departments, Head of departments, for instance, or it could be some of those guys in the director level, those guys in the vice president level, etc., who are closer to the decision maker.

So the decision maker is the final authority in any company. Again, here, what happens with influencers, influencers are that you will have people belonging to different disciplines. You will have people from finance, you'll have people from quality, you'll have people from operations who will kind of discuss, debate, do all those kinds of assessments which I had shown you. You see, if you remember that when you select a supplier, what they specifically did was they did something called: they selected a supplier. The shortlisting was done based on what we call as critical or key success factors.

So you see what happens here is that the finance people may play the role of the gatekeeper and kind of say that, look, you know, something about 70,000, it's not feasible for us. And then the operations manager may say that, well, we agree with the constraints that you have, but we also want to let you know that this would not serve the job. It will again land up in the same problem. And a lot of discussion happens here. And finally, they make certain recommendations that these are our top one, two, three.

And then finally, who you have is the decision maker. So the decision maker is the head. Let's say it's the CEO or let's say, The chief purchase officer or the

C-suite levels, et cetera, varies by the organization. Some people in some organizations, the top level may directly be involved.

Whereas in some organization, they may have a committee and where they kind of decentralize it, you know, power is kind of shared. And they say that you guys are the decision maker who kind of finally signs this particular order. So I hope this video gives you much needed clarity on the decision making unit. which is also called referred to as buying center. If you want to know more about it, you can read from the textbooks.

But I think for understanding the basics, this level of understanding is kind of enough for you. And it is why it is because you have these many roles, you know, you know, discussing, debating. It actually does take a lot of time. But I would also recommend you to check this video on the buying center by Greg Rich so that you have a better and an enhanced understanding. I look forward to meeting you in the next video.